

FRANCHISE AGREEMENT

This Franchise Agreement ("Agreement") is made and entered into on this 15th day of June, 2025

BETWEEN:

BREWNATION LIMITED, a company incorporated under the Companies Act, 2006, having its registered office at 15, lebi Street, London, United Kingdom, represented herein by its authorized representative, Mr. Raman Smith (hereinafter referred to as the "Franchisor," which expression shall, unless repugnant to the context, mean and include its successors and assigns), of the ONE PART;

AND

VERMA ENTERPRISE PVT LTD, a limited liability company having its principal place of business at 123, 6th Main Road, Bangalore, Karnataka, India, represented herein by its authorized representative, Ms. Priya Sharma (hereinafter referred to as the "Franchisee," which expression shall, unless repugnant to the context, mean and include its successors, legal representatives, and permitted assigns), of the OTHER PART.

WHEREAS:

1. The Franchisor is engaged in the business of operating coffee retail outlets under the brand name "BrewNation" and owns proprietary recipes, trademarks, logos, and store designs that have gained global recognition.
2. The Franchisee has expressed its interest in establishing and operating a BrewNation coffee outlet within the Jayanagar, Bangalore metropolitan region, and the Franchisor has agreed to grant such rights subject to the terms and conditions of this Agreement.

NOW, THEREFORE, in consideration of the mutual covenants and promises set forth herein, the parties agree as follows:

1. Grant of Franchise

1.1 Exclusive Rights and Territory

1.1.1 The Franchisor hereby grants the Franchisee the sole and exclusive right to establish, operate, and manage BrewNation coffee outlets within the geographical boundaries of Jayanagar, Bangalore metropolitan region (hereinafter referred to as the "Territory"), for the duration of this Agreement.

1.1.2 The exclusivity granted under this Clause ensures that no other franchisee, agent, or representative of the Franchisor shall be permitted to establish or operate a BrewNation outlet within the said Territory during the term of this Agreement, unless otherwise agreed in writing by both Parties.

1.1.3 The Franchisee is granted the right to use the BrewNation brand, trademarks, proprietary recipes, store designs, and operational systems solely within the defined Territory and in accordance with the standards and guidelines prescribed by the Franchisor.

1.2 Restriction on Transfer and Expansion

1.2.1 The Franchisee acknowledges and agrees that the exclusive rights granted herein are strictly limited to the specified Territory and shall not extend beyond its defined boundaries.

1.2.2 The Franchisee shall not:

- (a) Establish or operate any additional BrewNation outlets beyond the defined Territory;
- (b) Enter into sub-franchise agreements, partnerships, or sublicenses concerning the rights granted under this Agreement without the prior written consent of the Franchisor;
- (c) Transfer, assign, or delegate any part of its rights or obligations under this Agreement to any third party without obtaining prior written approval from the Franchisor.

1.3 Compliance with Territorial Boundaries

1.3.1 The Franchisee agrees to cooperate fully in defining, maintaining, and respecting clear territorial boundaries to prevent encroachment or conflict with other franchisees.

1.3.2 Any dispute arising regarding territorial boundaries shall be resolved in accordance with the Dispute Resolution mechanism outlined in this Agreement.

1.3.3 The detailed description of the Territory, including maps and boundary markers, is annexed as *Schedule A* to this Agreement.

1.4 Consequences of Breach

1.4.1 Any breach of this Clause, including but not limited to unauthorized expansion, sub-franchising, or transfer of rights, shall constitute a material violation of this Agreement.

1.4.2 In the event of such a breach, the Franchisor shall have the right to:

- (a) Terminate this Agreement with immediate effect;
- (b) Seek injunctive relief to prevent further unauthorized operations;
- (c) Claim damages and losses incurred due to the unauthorized actions of the Franchisee.

2. Financial Terms

2.1 Franchise Fee

The Franchisee shall pay a one-time, non-refundable franchise fee of ₹25,00,000 (Rupees Twenty-Five Lakhs) to the Franchisor upon signing this Agreement. This payment secures the Franchisee's right to operate BrewNation outlets within the designated Territory. The amount shall be remitted via bank transfer to the Franchisor's designated account, with proof of payment provided immediately upon execution of this Agreement.

2.2 Royalties

The Franchisee shall pay the Franchisor an ongoing royalty fee equivalent to **7% of gross monthly sales**. "Gross monthly sales" shall include all revenue generated from the Franchisee's operations under the BrewNation brand, excluding applicable taxes and authorized discounts. The royalty payment shall be made on or before the **10th day of each subsequent month**, accompanied by a detailed sales report. Any delay in payment shall incur an interest charge of **2% per month** on the outstanding amount until fully settled.

2.3 Advertising Fund Contribution

The Franchisee shall contribute **2% of gross monthly sales** to the Franchisor's national advertising fund. This payment shall be made alongside the royalty fee and must be

accompanied by a statement of sales for the relevant period. The Franchisor shall retain full discretion over the utilization of this fund to ensure uniform brand marketing and national-level promotional activities.

2.4 Tax Obligations

All payments under this Agreement, including the franchise fee, royalties, and advertising fund contributions, shall be **exclusive of applicable taxes**, which shall be solely borne by the Franchisee. The Franchisee is responsible for compliance with all tax regulations, including **Goods and Services Tax (GST)**, and shall indemnify the Franchisor against any liabilities arising from non-compliance. Upon request, the Franchisee must furnish proof of tax payments to the Franchisor.

3. Operational Standards

3.1 Compliance with Brand Standards

The Franchisee shall strictly adhere to BrewNation's **recipes, menu, operational procedures, and store design guidelines** as prescribed by the Franchisor. All products, including coffee and related items, must meet the exact specifications set by the Franchisor in terms of preparation, ingredients, presentation, and packaging. Any deviation from these standards without prior written approval from the Franchisor shall be considered a material breach of this Agreement.

3.2 Staff Training

All staff employed at the Franchisee's outlet must undergo **mandatory training conducted by BrewNation** before the store launch. The training shall cover product preparation, customer service, equipment usage, and health and safety protocols. The Franchisee shall bear all associated training costs and ensure that only trained personnel operate within the BrewNation outlet. The Franchisor may also mandate refresher training sessions periodically to uphold brand standards.

4. Intellectual Property

4.1 Ownership and License

The Franchisor's **trademarks, logos, proprietary recipes, trade secrets, and all other intellectual property** (collectively, "Intellectual Property") shall remain the sole and exclusive property of the Franchisor. The Franchisee is granted a **limited, non-transferable, and non-exclusive** license to use the Intellectual Property solely for operating the franchised outlet within the designated Territory and only during the term of this Agreement. This license does not confer any ownership or proprietary rights to the Franchisee.

4.2 Restrictions on Use

The Franchisee shall not use, reproduce, modify, or transfer the Intellectual Property beyond the scope permitted under this Agreement. Any **unauthorized use or disclosure** of the Intellectual Property shall constitute a material breach. The Franchisee shall not share or grant access to the Intellectual Property to any third party, including employees, suppliers, or contractors, unless expressly authorized in writing by the Franchisor.

4.3 Protection and Confidentiality

The Franchisee shall take **all reasonable measures** to protect the confidentiality of the Intellectual Property and prevent unauthorized use or disclosure. This includes restricting access to only necessary personnel and implementing security protocols. Any suspected or actual **misuse, unauthorized access, or infringement** must be reported to the Franchisor immediately.

4.4 Post-Termination Obligations

Upon termination or expiration of this Agreement, the Franchisee shall:

- **Immediately cease all use of the Intellectual Property**, including signage, trademarks, branding, and promotional materials.
- **Remove and return** all physical and digital materials, including manuals, recipes, and documents referencing the Intellectual Property.
- Provide a **written certification** confirming no copies of such materials have been retained.

4.5 Enforcement and Remedies

The Franchisee acknowledges that any **violation of this clause** may cause **irreparable harm** to the Franchisor. In such cases, the Franchisor shall be entitled to seek **injunctive relief, legal action, and any other remedies available under law**, in addition to claims for damages.

5. Duration and Renewal

5.1 This Agreement shall remain in force for an initial term of **five (5) years** from the date of execution. During this period, the Franchisee shall operate under the rights and obligations set forth by the Franchisor, subject to full compliance with this Agreement.

5.2 The Agreement may be renewed at the sole discretion of the Franchisor, based on the Franchisee's performance. Renewal shall be contingent upon the following key performance metrics: a. **Sales Performance** – Meeting or exceeding sales targets as determined by the Franchisor. b. **Operational Compliance** – Adherence to BrewNation's operational standards, customer service protocols, and brand guidelines. c. **Financial Obligations** – Timely payment of all royalties, advertising fund contributions, and other applicable fees. d. **Regulatory Compliance** – Conformance with all applicable laws, permits, and licensing requirements.

5.3 The Franchisee must submit a **written renewal request at least three (3) months prior** to the expiration of the initial term. The Franchisor shall review the Franchisee's performance and notify its decision in writing within **forty-five (45) days** of receiving the request.

5.4 If renewal is granted, the parties shall execute a **Renewal Agreement**, which may include updated terms and conditions based on prevailing market conditions and business strategies.

5.5 In the event of non-renewal or expiration, the Franchisee shall **cease all operations under the BrewNation brand**, remove all proprietary signage, trademarks, and branding, and return all confidential materials to the Franchisor. The Franchisor reserves the right to reassign the Territory to another franchisee or operate directly in the region.

5.6 The Franchisee acknowledges that renewal is not an automatic right and remains subject to the sole discretion of the Franchisor based on business performance and strategic considerations.

6. Confidentiality

6.1 Definition of Confidential Information:

"Confidential Information" includes all proprietary, non-public information disclosed by the Franchisor to the Franchisee, whether written, oral, or electronic. This includes but is not limited to business strategies, customer data, operational manuals, recipes, trade secrets, financial data, marketing plans, store designs, software systems, and any other information deemed confidential or understood as such by its nature.

6.2 Obligations of Confidentiality:

The Franchisee shall:

- a. Maintain strict confidentiality of all Confidential Information.
- b. Use the Confidential Information solely for operating the franchised business under this Agreement.
- c. Restrict access to Confidential Information to employees, agents, or contractors who require such access for operational purposes and are bound by equivalent confidentiality obligations.
- d. Not disclose, reproduce, or distribute Confidential Information without prior written approval from the Franchisor.

6.3 Exclusions from Confidential Information:

Confidentiality obligations shall not apply to information that:

- a. Becomes publicly available through no breach by the Franchisee.
- b. Was lawfully in the Franchisee's possession before disclosure, as evidenced by written records.
- c. Is lawfully obtained from a third party without confidentiality obligations.
- d. Is required to be disclosed by law, regulation, or court order, provided the Franchisee notifies the Franchisor promptly and cooperates to limit disclosure.

6.4 Protection of Confidential Information:

The Franchisee shall take all reasonable measures, including physical, technical, and administrative safeguards, to prevent unauthorized access, use, or disclosure of Confidential Information.

6.5 Return or Destruction of Confidential Information:

Upon termination, expiration, or at the Franchisor's request, the Franchisee shall immediately

return or destroy all copies of Confidential Information in its possession, including electronic and hard copies, and certify compliance in writing.

6.6 Survival of Obligations:

The confidentiality obligations in this clause shall survive the termination or expiration of this Agreement for a period of five (5) years or as otherwise required by law.

6.7 Remedies for Breach:

A breach of this clause may cause irreparable harm to the Franchisor. In such cases, the Franchisor shall be entitled to seek injunctive relief and any other legal or equitable remedies available.

7. Indemnity

7.1 Indemnification Obligations:

The Franchisee agrees to indemnify, defend, and hold harmless the Franchisor, its affiliates, directors, officers, employees, and agents (collectively, the "Indemnified Parties") from and against any and all claims, demands, liabilities, damages, losses, costs, and expenses, including reasonable attorneys' fees and litigation costs, arising from or related to:

- a. Any breach of this Agreement by the Franchisee, including but not limited to violations of operational standards, brand guidelines, or intellectual property restrictions.
- b. Any third-party claims, actions, or legal proceedings arising from the operation of the Franchisee's outlet, including customer complaints, employee disputes, or health and safety violations.
- c. Any acts of negligence, willful misconduct, or non-compliance with applicable laws and regulations by the Franchisee, its employees, agents, or contractors.
- d. Any false, misleading, or unauthorized statements made by the Franchisee or its representatives regarding the Franchisor or its products and services.

7.2 Survival of Indemnity Obligations:

The Franchisee's obligations under this clause shall survive the termination or expiration of this Agreement.

7.3 Defense and Settlement:

- a. In the event of a claim or action covered by this indemnity, the Franchisor shall promptly

notify the Franchisee and provide reasonable assistance, at the Franchisee's expense, in defending such claims.

b. The Franchisee shall have the right to control the defense of any claim, provided that any settlement or resolution must receive prior written approval from the Franchisor, which shall not be unreasonably withheld.

c. The Franchisor reserves the right to participate in the defense at its own expense if it determines that its interests are not adequately represented.

8. Dispute Resolution

8.1 Good Faith Negotiations:

The parties shall endeavour to resolve any disputes, controversies, or claims arising out of or in connection with this Agreement, including its validity, interpretation, performance, or termination (hereinafter referred to as a "Dispute"), through good faith negotiations. Either party may initiate the negotiation process by serving written notice of the Dispute to the other party, outlining the nature and basis of the Dispute. The parties agree to meet and negotiate in good faith to resolve the Dispute within thirty (30) days from the date of such notice.

8.2 Arbitration Proceedings:

If the Dispute remains unresolved after the thirty (30) days of negotiation, the parties agree to refer the matter to arbitration. The arbitration shall be conducted in accordance with the provisions of the **Arbitration and Conciliation Act, 1996**, or any statutory modification or re-enactment thereof.

8.3 Seat and Venue of Arbitration:

The seat and venue of arbitration shall be **Delhi, India**.

8.4 Appointment of Arbitrator:

The arbitration shall be conducted by a **sole arbitrator**, who shall be appointed by the Franchisor. The arbitrator's decision shall be binding on both parties, and the arbitration award shall be final and enforceable.

8.5 Language and Confidentiality:

a. The arbitration proceedings shall be conducted in **English**.

b. All proceedings, submissions, and awards related to the arbitration shall remain **confidential**, and neither party shall disclose the same to any third party without the prior written consent of the other party, except as required by law or for the enforcement of the arbitration award.

8.6 Costs of Arbitration:

Each party shall bear its **own costs** of arbitration, including legal fees, unless otherwise directed by the arbitrator in the final award. The costs of the arbitrator and administrative fees shall be **borne equally** by both parties unless otherwise agreed.

8.7 Interim Relief:

Nothing in this clause shall preclude either party from seeking **interim or injunctive relief** from any court of competent jurisdiction to protect its rights or property pending the resolution of the Dispute through arbitration.

9. Termination

9.1 Grounds for Termination:

The Franchisor may terminate this Agreement with immediate effect upon the occurrence of any of the following:

- a. **Non-payment of royalties, advertising contributions, or any other financial obligations** due to the Franchisor for more than thirty (30) days, despite written reminders.
- b. **Breach of brand standards, operational guidelines, or any other material terms** specified in this Agreement, including failure to maintain the quality, hygiene, or customer service standards mandated by the Franchisor.
- c. **Violation of territorial exclusivity**, such as opening or operating outlets outside the designated Territory or encroaching upon another franchisee's rights.
- d. **Engaging in any activity that tarnishes or diminishes the goodwill, reputation, or brand image** of BrewNation.
- e. **Repeated failure to provide timely reports, sales data, or other required documentation** to the Franchisor.
- f. **Insolvency, bankruptcy, or any legal proceedings initiated against the Franchisee** that may affect its ability to fulfill obligations under this Agreement.

9.2 Obligations Upon Termination:

Upon termination, the Franchisee shall immediately:

- a. **Cease all operations under the BrewNation brand**, including discontinuing the use of trademarks, logos, and proprietary materials associated with the brand.
- b. **Return all proprietary materials and confidential information** to the Franchisor, including manuals, recipes, equipment, and any other assets provided by the Franchisor, in a condition acceptable to the Franchisor.
- c. **Remove all signage, branding, and other elements** identifying the premises as a BrewNation outlet and ensure that the outlet no longer resembles or is associated with the BrewNation brand in any way.
- d. **Settle any outstanding dues**, including royalties, advertising contributions, and any other financial obligations owed to the Franchisor.
- e. **Provide the Franchisor with a written certification** confirming the return or destruction of all proprietary and confidential information.
- f. **Cooperate with the Franchisor to facilitate a smooth transition**, including providing access to the outlet for inspection and ensuring compliance with all post-termination obligations.

9.3 Legal Consequences of Non-Compliance:

The Franchisee acknowledges that failure to comply with the post-termination obligations outlined herein may result in legal action by the Franchisor, including claims for **damages, injunctive relief, and enforcement of rights** under this Agreement.

9.4 Continuing Obligations:

Termination of this Agreement shall not relieve the Franchisee of any liabilities or obligations incurred **prior to the date of termination**, including:

- a. **Payment of outstanding dues** to the Franchisor.
- b. **Compliance with confidentiality and non-compete obligations** as per this Agreement.

10. Compliance with Laws

10.1 Legal Framework:

The parties agree that this Agreement is executed and shall be governed in accordance with the provisions of the **Indian Contract Act, 1872**, ensuring that all terms are **legally enforceable**, entered into with **free consent**, and for **lawful consideration and purpose**.

10.2 Protection of Intellectual Property:

The Franchisee acknowledges and agrees to use the Franchisor's **trademarks, trade names, and proprietary materials** strictly as permitted under this Agreement and in compliance with the **Trademarks Act, 1999**. The Franchisee shall not engage in any act that may **infringe, dilute, or misappropriate** the intellectual property rights of the Franchisor.

10.3 Compliance with Foreign Direct Investment (FDI) Regulations:

The Franchisor confirms its compliance with applicable **Foreign Direct Investment (FDI) regulations** as prescribed by the **Government of India**. The Franchisee agrees to conduct all transactions and operations in conformity with these regulations, ensuring adherence to all **reporting and financial requirements** under Indian law.

10.4 General Legal Compliance:

Both parties shall comply with all applicable **laws, regulations, and guidelines in India**, including but not limited to:

- **Labor laws** (ensuring fair wages, working conditions, and employment regulations).
- **Tax regulations** (including Goods and Services Tax (GST) and other statutory filings).
- **Environmental laws** (ensuring sustainable and responsible business practices).

10.5 Data Protection and Privacy Compliance:

The Franchisee shall comply with applicable **data protection laws**, including but not limited to the **General Data Protection Regulation (GDPR)**, where relevant. The Franchisee agrees to:

- Implement appropriate technical and organizational measures** to protect personal data processed under this Agreement.
- Ensure that all **data processing activities are lawful, fair, and transparent** in accordance with GDPR principles.

- c. Obtain necessary **consents for the collection, processing, and use of personal data** from customers and employees, as required by law.
- d. Promptly **notify the Franchisor of any data breaches** or security incidents involving personal data.

The Franchisor and Franchisee shall **cooperate** to address **data subject requests, regulatory inquiries, and compliance obligations** related to data protection during the term of this Agreement.

10.6 Ongoing Compliance and Regulatory Updates:

The parties shall **cooperate** to address any **changes in applicable laws** and ensure timely compliance with all **regulatory requirements** during the term of this Agreement.

11. Miscellaneous

11.1 This Agreement shall be governed by and construed in accordance with the laws of India. Any disputes arising out of or in connection with this Agreement shall also be interpreted in accordance with the applicable laws of India, subject to the dispute resolution provisions outlined herein.

11.2 Notices under this Agreement shall be deemed properly served if delivered by registered mail, courier, or electronic mail, provided that confirmation of delivery is obtained. Notices shall be sent to the addresses or email addresses provided in this Agreement or as updated by written notification from either party. Service of notice shall be effective upon actual receipt or three (3) business days from dispatch, whichever occurs first.

11.3 This Agreement constitutes the entire agreement between the parties concerning the subject matter hereof and supersedes all prior negotiations, discussions, agreements, or understandings, whether oral or written, relating to such subject matter. Any amendments or modifications to this Agreement must be made in writing and signed by authorized representatives of both parties to be effective.

11.4 Neither party may assign, transfer, or otherwise dispose of this Agreement or any rights or obligations hereunder without the prior written consent of the other party. Any attempted assignment in violation of this clause shall be null and void. Notwithstanding the foregoing, the Franchisor reserves the right to assign its rights and obligations under this Agreement to an affiliate or successor entity in connection with a corporate restructuring, merger, or acquisition, provided that such assignment does not materially affect the rights of the Franchisee.

11.5 The failure of either party to enforce any provision of this Agreement shall not be construed as a waiver of such provision or the right to enforce it at a later date. All rights and remedies under this Agreement are cumulative and not exclusive of any other rights or remedies available at law or in equity.

11.6 If any provision of this Agreement is found to be invalid, illegal, or unenforceable under applicable law, the remaining provisions shall continue in full force and effect. The parties shall negotiate in good faith to replace the invalid or unenforceable provision with a valid and enforceable provision that achieves the intent of the original provision.

11.7 This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Facsimile or electronically scanned signatures shall be considered as valid as original signatures for all purposes.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date first above written.

For BrewNation Limited:

Authorized Signatory

Mr. John verma

For VERMA ENTERPRISE PVT LTD:

Authorized Signatory

Ms. Priya Sharma

Witnesses 1:

1. Name: raman verma

Address: _____

Signature: _20.05.2025_____

: _____

Witness 2:

2. Name: Ritika Sharma

Address: _____

Signature